



Weekly Insights | Oct 9, 2025

Item	Page
Stories of the Week	1
Corn	30
Wheat	32
Soybeans	34
Soybean Meal	36
Soybean Oil	38
Weekly Prices	40

Executive Summary

Corn – Board Steadies, Logistics Drive Cash

December corn held at \$4.22 on Oct 8 (+6¢ w/w). Spreads stayed wide: Dec/Mar 17¢ on Oct 8 (two-thirds of full carry-on seven percent interest + \$0.05/bu/mo), continuing to reward commercial storage. Harvest-tied River basis weakened further as barge drafts/surcharges remained extreme, while ethanol/feed bids in the interior were comparatively steadier. The last official FAS Export Sales (week ended Sep 18) showed 1.92 MMT sold, including about 0.88 MMT to Mexico; fee-funded FGIS Export Inspections were 1.53 MMT for the week ended Sep 26, with movement still occurring into the week ended Oct 2. Positioning: CFTC (report date Sep 23) showed managed

money net short 95,000 corn contracts.

Soybeans – Modest Rebound, Products and Crush Supportive

November soybeans firmed roughly 16¢ to \$10.30 on Oct 8. Carry in the Nov/Jan spread narrowed slightly to 19¢ Nov/Jan as processors in parts of the eastern Corn Belt quietly firmed bids while river-exposed locations stayed unusually weak. The last official FAS Export Sales (week ended Sep 18) totaled about 0.72 MMT (China light); FGIS Export Inspections were sub-0.6 MMT for the week ended Sep 26, with movement still constrained by freight into Oct 2. Positioning: CFTC (report date Sep 23) showed managed money near flat to slightly short (-29,000) after September short-covering.

Wheat – Heavy Tone, Fresh Contract Lows Early Week. Chicago SRW December

Heavy tone, fresh contract lows early week. Chicago SRW December hovered at \$5.05 on Oct 8 after setting fresh contract lows earlier in the week. Dec/Mar at 18¢ on Oct 8 (80 percent of full carry) aligned with comfortable pipeline coverage after USDA's Sep 30 *Grain Stocks* and *Small Grains – 2025 Summary* reports lifted U.S. carry-in and 2025 output. FGIS export inspections through the week ended Oct 2 kept cumulative shipments ahead of last year's pace. Positioning: CFTC (report dated Sep 23) showed managed money net short 98,000 SRW and 43,000 HRW contracts.

Macro/Policy – Firm USD, Softer Crude, Ethanol Up Week on Week

USDA blackout. The US dollar remained firm and crude prices softened during Oct 2–Oct 8. Ethanol: For the week ended Oct 3, EIA reported production up eight percent week-on-week, supportive for corn grind. Shutdown: USDA weekly reports (*Export Sales*, *Crop Progress*) were not released in this window; figures above use the last available official releases (dates noted) and fee-funded FGIS inspections that continued into Oct 2.

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Weather

Oct 2–Oct 8 brought warmer/drier central U.S. conditions that sped drying and harvest; heavier showers in the Northern Plains caused localized delays only. Early-week showers aided HRW emergence in parts of the central/southern Plains, with more moisture still needed for uniform stands. In Brazil, early-October rains allowed soy planting to accelerate after a slow start; Argentina turned drier again after late-September relief.

What's Next (Oct 2 – Oct 8):

WASDE Setup (Oct 9, subject to shutdown delay): compare outcomes vs. expectations

Harvest Pace: track acceleration in corn and soy through mid-October and any impact on nearby spreads/basis.

River Logistics: watch Ohio and Mississippi drafts and barge tariffs; basis reaction if flows improve or further weaken if water levels fall further.

Crush & Ethanol: monitor processor bids and ethanol run rates as margins stay favorable.

Brazil/Argentina: continuity of central-Brazil planting rains; Argentina moisture for wheat fill and early corn.

Export Tone: tender results and Gulf/PNW vs. Brazil parity; any China activity on U.S. soy/corn.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	10/01/2025 Close	10/08/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ
Corn (Dec '25)	\$4.16	\$4.22	+\$0.05	+1.3%	12% (ann.)	+3k (est.)
Soybeans (Nov '25)	\$10.13	\$10.29	-\$0.16	+1.7%	11% (ann.)	-5k (est.)
Wheat (Dec '25)	\$5.08	\$5.05	-\$0.13	-0.6%	10% (ann.)	-8k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop '25→'26)	10/01 Quote	10/08 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+\$0.16	+\$0.16	n/c	72%	Carry narrowed slightly; still rewards storage/hedging
Soy Nov–Jan	+\$0.19	+\$0.19	+0.005	88%	Moderate carry; crushers absorbing supply
Wheat Dec–Mar	+\$0.18	+\$0.18	n/c	81%	Steady carry; reflects heavy supply coverage

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	10/01 USD Price	10/08 USD Price	Δ	Notes
Dalian Corn (Jan)	¥2,225 (\$7.88)	¥2,230 (\$7.93)	+0.2%	China corn futures slipped; still premium over imports
Dalian Soymeal (Jan)	¥3,600 (\$5.11)	¥3,580 (\$5.06)	-0.5%	Soymeal firm, hog demand steady

B3 (São Paulo) Corn (Nov)	R\$67.18 (\$12.61)	R\$67.50 (\$12.67)	+0.5%	Brazil corn pressured by export pace
Euronext Wheat (Dec)	€187.75 (\$220.35)	€190.5 (\$224)	+1.4%	EU wheat capped by cheap Black Sea offers

Corn Market Deep Dive

Futures & Spreads: December 2025 corn consolidated after the late-September break, settling at \$4.22 on Oct 8 (+6¢ w/w). The USDA *Grain Stocks* shock (larger-than-expected Sep 1 stocks, published Sep 30) kept a bearish overhang, but follow-through selling faded as the market marked time into *WASDE*. The Dec '25–Mar '26 spread held near +17¢ carry on Oct 8, roughly two-thirds of full carry on seven percent interest + \$0.05/bu/month storage/insurance, continuing to reward hedge-and-store programs. Realized vol eased from the post-report spike as ranges tightened.

Pre-WASDE Expectations: Consensus centers on a U.S. corn yield of 184.5-185.0 bpa and production of 16.5-16.6 bbu, with 2025/26 U.S. ending stocks at 2.2 bbu. On the global balance sheet, world corn ending stocks are 281-283 MMT. For South America benchmarks prior to this window, USDA (September) predicted the Brazilian corn crop at 131.0 MMT and forecast Argentinian production at 53.0 MMT, while CONAB's most recent projection expected Brazilian corn production to total 139.7 MMT.

Funds & Positioning: With CFTC's *Commitments of Traders* report suspended during the shutdown, the CFTC published the last report available on Sep 26 covering positions as of Sep 23, showed managed money net short 95,000 corn contracts, with commercials largely on the other side. Open interest rose into month-end, consistent with fresh shorting after the stocks surprise; the heavy speculative short keeps the market sensitive to any bullish nudge.

U.S. Cash & Basis: Harvest pressure plus river logistics kept basis soft in the barge markets. Illinois River bids commonly 35–45¢ under Dec; Mid-South/Lower Mississippi locations 70–80¢ under, reflecting draft limits and barge surcharges that persisted through this week (late-September quotes around \$19.53/ton, roughly 53¢ per bushel, remained indicative). CIF Gulf eased accordingly, weighing on export elevators. By contrast, ethanol plants and Plains feeders held comparatively firmer bids (many near parity but quite a few bids just under the Dec contract), pulling grain away from export channels. Nationally, the corn basis index averaged 40¢ under Dec, consistent with seasonal harvest pressure but not yet signaling distress.

Export Flows: With USDA's weekly updates paused, the last official prints guide the view. The FAS *Export Sales* report for the week ended Sep 18 and published on Sep 25 totaled 1.92 MMT, including 0.88 MMT to Mexico. FGIS export inspections (week ended Sep 26; published Sep 29) were 1.53 MMT; FGIS operations continued into the week ended Oct 2, indicating ongoing loadings even as barge costs stayed high. Pre-blackout cadence, led by Mexico and Japan, helped keep Gulf values nominally viable despite competitively priced supplies from Brazil.

International Trade: Brazil remained the low-cost anchor; FOB Santos near \$205/MT (\$5.20/bu equivalent) preserved a \$25–30/MT edge over typical U.S. Gulf offers into Asia. Argentina briefly undercut both during its late-September tax holiday (Up-River \$200–205/MT) before the window closed and offers firmed. China stayed largely absent from US books; domestic coverage and alternative origins filled nearby needs. In the futures market, Dalian Jan corn held a premium to import parity, but

policy/biotech constraints continued to limit US access.

So What? Corn remains storage-driven: wide carries and weak river-linked basis encourage commercials to own time, while interior demand (ethanol/feed) quietly supports floor values near \$4.22. The heavy speculative short and steady pre-blackout export cadence (Mexico/Japan) argue for range-bound trade into *WASDE*, with direction hinging on the potential US yield update and any relief in Mississippi logistics. However, if the government does not reopen, traders will continue to rely on anecdotal reports for yield estimates. The increase in uncertainty due to the information gap during the shutdown means that speculative traders are unlikely to make large, directional bets until USDA releases its next assessment of US production.

Soybean Market Deep Dive

Futures & Spreads: November 2025 soybeans recovered modestly from the late-September drop, ending \$10.29/bu on Oct 8. The curve stayed wide, with Nov '25–Jan '26 at a 19¢ carry, about three-quarters of full carry based on the following assumptions, seven percent interest + \$0.05/bu/month storage cost. The wide but steady spreads are consistent with ample nearby supply and limited urgency from exporters.

Pre-*WASDE* Expectations: Consensus looks for a U.S. soybean yield of 53.1 to 53.2 bpa (down slightly from prior estimates), production of 4.26 to 4.27 bbu, and 2025/26 US ending stocks of 0.290 bbu. On the global balance sheet, traders expect USDA to report new-crop world soybean ending stocks at 124 MMT. In the September *WASDE*, USDA's analysts predicted the Brazilian crop at 175.0 MMT and Argentinian production at 48.5 MMT, while CONAB's latest estimate prior to Oct 8 has Brazil at 177.6 MMT.

Products & Crush: Board crush margins improved slightly to \$1.485/bu as of October 8, supported by steadier meal and a firmer soybean oil prices after September weakness. The Dec CME board crush contract dropped from a recent high of more than \$2.25 in early August to almost \$1.40/bu in late September. Positive crush economics helped keep processor bids comparatively firmer than river-exposed elevators and maintained a stable domestic offtake into early October.

Funds & Positioning: With the *Commitments of Traders* reporting suspended during the shutdown, the last available report (as of Sep 23; published Sep 26) showed managed money near flat to slightly short (-29,000 contracts) after covering shorts into month-end. Commercial hedging remained aligned with a carry structure; speculative participation was light into the report week.

Cash & Basis: The barge market weighed on river basis levels with CIF Gulf premiums of +70–100¢ for Nov, down from roughly +140¢ a month earlier amid elevated barge costs and harvest inflows. Midwest elevators trimmed bids as farmer movement increased, while processors stayed firmer relative to futures given positive crush economics; Eastern Corn Belt crushers continued to pay +50–70¢ vs. Nov. Nationally, an average basis near 78¢ under Nov sits among the weaker early-harvest prints in recent years and is consistent with the low water levels and constrained export pull.

Trade Flows: The last official USDA prints before the blackout showed export sales during the week ended Sep 18 of 0.72 MMT (led by Egypt, Taiwan, Mexico) and export inspections for the week ended Sep 26 at 0.59 MMT. China remained largely absent from the US market as heavy late-September buying from Argentina during its short-lived zero-duty window diverted demand just as the US harvest accelerated.

International Competition: Argentina's temporary suspension of export taxes triggered Chinese bargain hunting, allowing buyers to secure up to 2.1 MMT of Argentine soybeans at steep discounts. After the

window closed, Argentina's advantage faded, but Brazil remained the global price setter: FOB Santos \$440-470/MT (\$10.20/bu) versus US Gulf \$495/MT, while Argentine Up-River normalized near \$480/MT after the tax holiday ended. That pricing stack kept US offers at a disadvantage into Asia even as crushers supported domestic demand.

So What? Currently the soybean market is harvest- and storage-driven: a wide nearby carry and weak barge markets encourage commercials to own time, while positive crush margins keep processors bidding and provide a domestic floor near \$10.30/bu. Export headwinds persist given Brazil's FOB advantage and September's Argentine sales to China; near-term price discovery hinges on realized US yields, the continuity of central-Brazil planting rains, and any sign of Chinese buying returning to US origin.

Wheat Market Deep Dive

Futures & Spreads: The Dec wheat contract traded quietly during the week ending Oct 8 with prices remaining close to \$5.00, consolidating after the late-September decline. The Dec/Mar spread held near an 18¢ carry on Oct 8, roughly 80 percent of full carry under a 7 percent interest + \$0.05/bu/month assumption, consistent with abundant nearby supply and a market still rewarding storage. Implied volatility stayed firm but orderly as participants awaited new balance sheet guidance.

Pre-WASDE Expectations: Trade consensus anticipates USDA will predict US 2025/26 ending-stocks at 875 million bushels, with world wheat ending stocks near 265-266 MMT. Traders do not expect a significant yield revision, though analysts will watch for adjustments to exports and feed use after the increased carry in suggested in the September *Grain Stocks* report. Internationally, attention centers on whether USDA analysts trim the Russian export forecast, currently near 51 MMT, or adjusts Australian output following recent dryness.

Global Supply & Demand: The tone remains shaped by USDA's *Grain Stocks* and *Small Grains – 2025 Summary* assessments. Sep 1 U.S. wheat stocks of 2.12 bbu and 2025 production of 1.985 bbu confirmed a larger-than-expected supply base. Abroad, Russian exporters continue to ship grain at a record pace, EU and Black Sea output are ample, and Argentinian new crop, estimated near 21 MM, adds further weight to global availability heading into 2025/26.

Cash & Basis: Physical markets mirrored the board's weakness. US FOB SRW near \$250/MT, HRW 11.5 percent, near \$270/MT, while Russian 12.5 percent protein wheat held near \$230/MT FOB Black Sea, keeping a lid on US competitiveness. Gulf basis stayed under pressure as exporters struggled to generate fresh demand, and domestic mill bids softened in line with ample stocks.

Trade Flows: With USDA weekly series paused, the last official readings guide sentiment. US export sales during the week ended Sep 18 totaled 0.54 MMT, while inspections through week ended Oct 2 left cumulative shipments modestly above last year's depressed pace but still insufficient to absorb the higher carry-in. Russia's continued dominance in world tenders and steady EU participation keep the US as a residual supplier.

Speculative Positioning: With CFTC *Commitments of Traders* report suspended during the shutdown, the last available report published on Sep 26 showed managed money heavily net short. As of Sep 23, the CFTC estimated the net fund position short 98,000 contracts of SRW and 43,000 HRW contracts. The entrenched short bias has capped rallies, but its size leaves the market exposed to abrupt short covering – if a trigger appears.

So What? The wheat market remains well supplied, rewarding storage. Ample domestic and global inventories, persistent Black Sea competition, and wide carries continue to define trade. Futures appear locked in the low-\$5 range until demand improves or a weather or geopolitical shock alters export flows. Near-term volatility will likely stem more from positioning shifts than from any immediate tightening in fundamentals.

U.S. Cash Market & Basis

Corn: Harvest and logistics continued to weigh on corn basis across river markets. Illinois River bids ranged from 35¢ to 45¢ under December, while Lower Mississippi levels slipped to 70–80¢ under, reflecting persistent draft limits and elevated barge tariffs that carried over from late September. CIF Gulf premiums eased modestly, and export elevators reported slower spot movement as high freight costs erased much of the nominal advantage from lower board prices. In contrast, ethanol plants and feeders kept bids comparatively firm, with several processors paying near parity to December futures amid strong margins and seasonal grind demand. Nationally, the corn basis index averaged roughly 41¢ under December, consistent with harvest-season pressure but not yet signaling distress.

Soybeans: Soybean basis remained under pressure where river freight dominates. CIF Gulf bids hovered near +50–75¢ vs. November, down from roughly +140¢ a month earlier, while Midwest elevators trimmed bids to manage heavy harvest inflows. Processors maintained stronger premiums, particularly in the Eastern Corn Belt, where crushers continued to bid as much at -151¢ under the November contract (in the southeastern market) as ample supplies and recovering crush margins sustained domestic buying interest. Nationally, basis levels near 79¢ under November are among the weakest early-harvest readings in recent years, consistent with a futures curve near full carry and subdued export pull following the Argentine sales surge in late September.

Wheat: Cash wheat markets softened alongside futures as exporters struggled to generate fresh demand. HRW 11.5% FOB Gulf hovered near \$270/MT, while SRW offers slipped toward \$250/MT, undercut by Russian 12.5% protein wheat near \$230/MT FOB Black Sea. Basis levels at the Gulf remained weak, reflecting both the larger-than-expected carry-in and competitive global offers from Russia, France, and Ukraine. Domestic mill bids in the southern Plains stayed steady but offered little counterweight to soft export margins.

So What? Cash markets across all major grains continue to reflect a bifurcated structure: export corridors remain the weak link, pressured by costly barge freight and intense global competition, while processors and inland consumers maintain comparatively firmer bids supported by strong crush and ethanol economics. The wide carry across futures curves reinforces commercial storage behavior, keeping grain in the interior and limiting Gulf recovery until freight normalizes or export demand materially improves.

International Cash & Trade Flows

Brazil: Brazil remained the global price setter in soybeans and a key low-cost origin for corn. FOB Santos soybeans were indicated near \$440/MT (\$11.97/bu), keeping a clear advantage over US Gulf offers (\$403/MT) into Asia. FOB Santos corn held around \$205/MT (\$5.20/bu equivalent), preserving a \$25–30/MT edge versus typical US Gulf corn into long-haul destinations. With Brazil's old-crop soy program largely pre-sold, nearby liquidity focused on spot beans and meal/oil parcels; the price leadership persisted nevertheless, limiting US optionality in Asia and pressuring Gulf differentials despite harvest-season board weakness.

Argentina: The late-September temporary suspension of export taxes triggered a burst of farmer selling that allowed China to secure roughly two million tonnes of soybeans at steep discounts. That policy window has since closed, and Up-River (Rosario) soy FOB normalized near \$406/MT, erasing most of the extreme discount versus Brazil/US For corn, Up-River FOB briefly printed \$200–205/MT during the zero-duty window before firming after the reinstatement of taxes. The quick policy swing diverted near-term Chinese demand away from US origin just as US harvest accelerated, and while the price advantage from Argentine supplies faded after the tax-holiday window closed, some of that nearby business will work through lineups into early Q4.

China: Chinese buyers remain largely absent from the US soybean market instead opportunistically sourcing soybeans from Argentine suppliers during the tax holiday. On feed grains, Dalian Jan corn near ¥2,143/MT (\$7.76/bu) continued to sit above US import parity, but policy/biotech constraints and tariff structure kept US corn exporters from translating that theoretical advantage into actual flows. The net effect for early October was a soft US export pull in soybeans driving US shippers continued reliance on Western Hemisphere demand (Mexico/Japan) to keep US corn loadings moving.

EU / Black Sea: Russian 12.5 percent protein wheat FOB Black Sea hovered in the low \$230s/MT, anchoring global wheat pricing and undercutting US SRW/HRW FOB (roughly \$250/MT and \$270/MT, respectively). Competitive EU offers (France/Poland) and steady Black Sea availability kept US wheat largely residual in discretionary tenders, even as CBOT printed fresh lows. The same pricing stack also constrained US corn and soymeal into North Africa and the Mediterranean, where Black Sea/EU origins filled a significant share of nearby demand.

Other Origins: The pre-blackout US corn export cadence remained centered on Mexico and Japan, as shown by the 1.92 MMT sales total for the week ended Sep 18 (including 0.88 MMT to Mexico) and 1.53 MMT inspections for the week ended Sep 26, with FGIS activity continuing into Oct 2. That pattern helped Gulf corn stay nominally competitive within the Americas even as Brazil held the edge into Asia. US soybeans, by contrast, faced sub-0.6 MMT inspections (week ended Sep 26) and a sales slate led by Egypt/Taiwan/Mexico, reflecting the Argentine diversion and Brazil's ongoing price leadership.

So What? The global pricing stack this week was unchanged in direction: Russia sets the floor in wheat, Brazil sets the pace in soy and remains aggressive in corn, and Argentina's tax-holiday cargoes temporarily diverted China away from U.S. beans. With U.S. Gulf soybean offers still at a premium to Brazilian sources in the Asian markets and Black Sea wheat more competitive than US supplies, export demand remains the weak link for US values even as domestic processors and hemisphere demand (Mexico/Japan) provide a floor. Until relative FOB spreads narrow, or freight/logistics ease enough to improve netbacks, US export share in key tenders will lag, keeping basis weaker at the Gulf and reinforcing the carry-and-store incentives signaled by CME spreads.

Key Fundamentals & Reports (Oct 2 – Oct 9)

Government Shutdown: Federal agencies remained partially closed through this writing. Until the government reopens, USDA does not publish its slate of weekly reports (*Export Sales*, *Crop Progress*), and CFTC has suspended *Commitments of Traders* updates. Historically, brief shutdowns see data being backfilled quickly; longer ones have resulted in gaps that are not retro released, with agencies interpolating time series after the fact. The market impact remains more about near-term signal loss than fundamentals: cash and global price relationships continue to transmit the key information.

Quarterly Grain Stocks (USDA, published Sep 30): No change from last week's release. Sep 1 corn stocks: 1.53 bbu (+190 mbu vs. expectations, +12% y/y), soybeans: 316 mbu (below expectations, above last year's 268 mbu), wheat: 2.12 bbu (+80 mbu vs. expectations, +six percent y/y). These levels remain the anchor for pre-WASDE positioning in this blackout window. Small Grains Annual Summary (USDA, published Sep 30): No new update this week. U.S. wheat production for 2025 at 1.985 bbu (up from 1.927 bbu prior), driven by larger HRW/HRS crops. This continues to frame the wheat market's supply heavy bias into October.

Crop Progress (USDA NASS, not published Oct 2–Oct 9): Latest available is week ending Sep 28 (published Sep 29): corn 18 percent harvested (vs. 15 percent 5-yr avg), soybeans 19 percent (vs. 16 percent), ratings steady (corn 66 percent G/E, soy 63 percent G/E). With warm/dry Oct 2–8 conditions, harvest likely advanced further, but we anchor to the last official print.

Export Inspections (USDA FGIS, fee-funded operations continued): Last consolidated official totals pre-blackout: week ending Sep 26 (published Sep 29), corn 1.53 MMT, soybeans 0.59 MMT, wheat 0.66 MMT. FGIS operations continued into the week ending Oct 2, indicating ongoing loadings, but we do not introduce new unaudited totals.

Export Sales (USDA FAS, not published Oct 2–Oct 9): Latest available week ending Sep 18 (published Sep 25), corn 1.92 MMT (incl. 0.88 MMT to Mexico), soybeans 0.72 MMT (Egypt/Taiwan/Mexico; China absent), wheat 0.54 MMT (Philippines/Italy among buyers). These remain the reference points for demand into the shutdown.

Ethanol Production & Stocks (EIA, week ending Oct 3): Production increased w/w to 1.07 mbpd, with stocks down slightly to 22.72 mb; margins remained positive enough to keep processor bids comparatively firm versus river-exposed bids. For context, the last pre-window print was week ending Sep 27 (reported Oct 1) at 1.024 mbpd production and 23.456 mb stocks.

CFTC Commitments of Traders (publication suspended): Latest available snapshot as of Sep 23 (published Sep 26), managed money net short corn 95k, near flat/slightly short soy (-29k), heavily short wheat (-98k SRW, -43k HRW). No new official positioning this week.

So What? With USDA weekly's dark this week, the balance-sheet narrative is unchanged from late September: corn retains support from Mexico/Japan shipments and steady ethanol runs, soybeans face persistent export headwinds after Argentina's late-September sales and Brazil's FOB advantage, and wheat remains constrained by Black Sea price leadership. Futures curves advertising carry, plus weak river basis and relatively firmer processor bids, continue to direct grain toward storage and domestic use rather than the export channel until either freight normalizes or relative FOB spreads move decisively in the U.S. favor.

International Reports:

Brazil – CONAB Crop Outlook: No new CONAB bulletin emerged in the October 2–8 window; the next is slated for October 14. The latest available prior to this period predicted Brazil 2025/26 corn crop at 139.7 MMT and soybeans at 177.6 MMT, reflecting upward revisions from prior estimates on improved yields in key regions like Mato Grosso. Absent fresh volume guidance, cash prices continue to reflect burdensome nearby world supply with soybean prices around \$440/MT and corn values close to \$205/MT, sustaining pressure on US offers into Asia despite harvest-season board weakness.

Brazil – ANEC Export Lineups: ANEC figures for October 1–7, project soybean exports of 7.12 MMT for the full month, up sharply from 4.44 MMT in the same period last year amid robust Chinese demand. The strong October lineup reinforces the price signal, with Santos the most competitive source and the price level there the operative guide for near-term flows. Brazilian competitiveness has limited US optionality in long-haul destinations even as the calendar suggests US shipments should start to dominate world flows.

Argentina – Government Policy: The zero-duty window ended in late September, with the surge of sales during that period including two million tonnes of soybeans to China at steep discounts. Post-window, Up-River (Rosario) soy FOB normalized near \$406/MT, erasing most of the extreme discount versus Brazil/US origins; corn had briefly printed \$200–205/MT during the tax holiday before firming after reinstatement. Those late-September purchases continued to shape early-October executions, leaving US soy exports at a disadvantage despite harvest availability, though the resumption of traditional Argentine export taxes opens a modest window for US recovery if Chinese buying rotates back to the northern hemisphere sources.

China – Exchange Context (DCE): Market monitoring noted Dalian Jan corn near ¥2,225/MT (\$7.88/bu) during the window. Domestic Chinese values remained above import parity, but policy/biotech constraints continued to limit translation into U.S. corn flows, keeping reliance on Western Hemisphere demand like Mexico/Japan to sustain loadings.

Black Sea – Public FOB Indications (Russia 12.5%): Indications held in the low \$230s/MT FOB Black Sea. Russia continued to cap world wheat values, undercutting US SRW (\$250/MT) and HRW 11.5 percent (\$270/MT) and keeping US wheat the residual supply in world tenders, amid ample EU/Black Sea availability.

Global – IGC / AMIS / FAO Multilateral Balances: AMIS published the October edition of its monthly *Market Monitor* report on October 3; no new IGC or FAO last week. In the absence of new supply and demand data markets keyed off late-September national releases and spot FOBs/logistics as the primary signals, reinforcing the abundant supply backdrop.

So What? International reports this week highlighted persistent US export challenges, with Chinese buyers sourcing soybeans almost exclusively from South America, compounded by the Argentine tax-holiday, resulting in one of the slowest starts to a US export season that was not a non-drought year. In addition, Black Sea wheat shipments have also remained more competitive than US sources. While the wheat market reflects a more traditional competitive landscape, the distortions of Chinese trade flows due to political tension continues to erode US market share in oilseed trade. The AMIS update added no major shifts, leaving trade keyed to spot dynamics where US Gulf offers trail competitors into key destinations. Yet, Brazil's slowing farmer sales and Argentina's aggressive tax policy moves suggest that cracks may be forming in the pressure and US suppliers could play a larger role in world shipments in the coming months. Currently, US corn remains competitive into Mexico, but broader share of world trade flows hinge on South American pacing or Black Sea hiccups, keeping basis weaker at Gulf while and widening the carry.

Weather & Crop Conditions

United States

Crop Progress & Rainfall: Warm, dry conditions dominated the central U.S. through Oct 8, accelerating harvest progress and field dry-down. With USDA data suspended during the shutdown, the last official

figures (week ending Sep 28) showed corn 18 percent harvested (vs 15 percent avg) and soybeans 19 percent (vs 16 percent avg), while winter wheat planting stood at 26 percent (vs 29 percent avg). Field reports and weather data imply further advancement this week under clear skies. Dryness remained most pronounced across the western Corn Belt, where subsoil deficits continued to stress stalk integrity and raise lodging risk. The Plains saw scattered early-week showers that aided HRW emergence in some areas, though additional moisture is still needed for uniform stands.

Temperatures: A broadly warmer-than-normal, harvest-friendly pattern prevailed. No widespread frost threat materialized, preserving yield potential and allowing rapid natural dry-down. Heat was moderate but, paired with the ongoing dryness, continued to sap subsoil moisture in the western Corn Belt and did little to relieve the low Mississippi River levels constraining barge drafts.

Outlook (6–10 days): Forecasts issued during the window point to a continued warm/dry bias favoring harvest completion across the Midwest. Limited rainfall in the Ohio and Tennessee basins could bring some incremental improvement to river stages but is unlikely to remove navigation restrictions immediately. In the Plains, showers, if realized, would help HRW establishment; otherwise, stand risk will persist into mid-October.

South America: Early-October rains improved soil moisture across central Brazil, allowing soybean planting to accelerate after a delayed start, particularly in Mato Grosso and Goiás. Southern Brazil, which had been excessively wet earlier, turned more balanced, improving conditions for fieldwork. In Argentina, the Pampas trended drier again after late-September relief; wheat is filling under marginal moisture, and early corn planting is proceeding slowly while producers wait for more consistent precipitation. The next ten days will be critical for soil recharge before full soybean sowing begins later in the month.

Global: No major weather deviations were reported in other key origins. Russia and the EU maintained favorable late-season conditions supporting large crops, while Australia remained dry under El Niño, trimming wheat yield potential as filling advanced. Ukraine continued to benefit from late-September rains that improved soil conditions for winter sowing.

So What? In the United States, weather remains harvest-friendly and price-neutral to bearish, adding supply to the pipeline while leaving river-linked basis under pressure. The focal risk now shifts south: central Brazil's rains must stay consistent to sustain planting momentum, while Argentine dryness threatens early-season crop establishment. Until those patterns diverge meaningfully, the U.S. backdrop stays supply-heavy, and South American rainfall remains the key wildcard for grain and oilseed price direction into mid-October.

Synthesis & Outlook

This week underscored the pivot from harvest-friendly US weather and steady demand in corn to acute export headwinds in soybeans and a still-burdensome global wheat supply. Futures and cash are broadly aligned: corn is anchored by strong Mexican demand and firm ethanol grind, soybeans are weighed down by the lack of demand for US exports, and wheat remains capped by competitive Russian sources. Spreads in all three markets are in carry, but do not reflect burdensome extremes, due to the robust domestic demand, signaling orderly commercial hedging rather than distressed selling. Basis shows the same split: exporters under pressure from freight and South American competition, while domestic processors keep bids firm.

Speculative positioning reflects this mixed setup. Funds trimmed shorts in corn and wheat, reducing downside momentum, while soybeans saw outright long liquidation as Argentina's tax holiday flooded the market with cheap offers. The balance of positioning leaves markets sensitive: with fewer shorts to

squeeze, rallies will need true catalysts, disappointing yield reports, tighter stocks data, or fresh export demand. Without such triggers, the path of least resistance remains sideways to slightly lower into early October.

The backdrop going into the Oct 9 *WASDE* is balanced but fragile: trade consensus calls for corn yield at 184.5-185.0 bpa, soy 53.1-53.2 bpa, and only modest stock adjustments. Base case: December corn consolidates at \$4.22, November soybeans hover near \$10.29, and December wheat trades around \$5.05. Carries remain moderate and storage returns positive, favoring elevators holding grain while end users cover hand-to-mouth.

Bullish triggers: Any sustained Chinese soybean purchase, additional U.S. corn flash sales to Mexico, or a shift in Russian export policy would prompt a stronger reaction given light liquidity. Improvement in Mississippi River levels would also firm Gulf basis and narrow spreads, providing incremental board support.

Bearish triggers: Ideal U.S. harvest weather and yields meeting USDA expectations could push prices marginally lower. December corn risks testing \$4.05, November soybeans \$9.90–\$9.95, and December wheat could ease further if Russia continues to discount aggressively. A stronger dollar or a retreat in crude oil would add weight to biofuel-linked demand.

Watchlist (Oct 9 – Oct 15):

USDA WASDE (Oct 9): Benchmark for new yield and stock guidance; assess whether the agency confirms or diverges from trade expectations.

Harvest Pace: Monitor field progress into mid-month for logistical and basis implications.

River Logistics: Observe rainfall in the Ohio/Tennessee basins for potential draft relief and impact on Gulf premiums.

Brazil Planting: Central Brazil rainfall consistency will determine whether early-season momentum is sustained or delayed.

South American Policy & Black Sea Flows: Watch Argentina's export rhythm post-tax window and Russian FOB moves for any shift in global wheat pricing.

In summary: The grain complex enters *WASDE* week in a neutral-to-cautiously bearish posture. Supplies are ample but manageable, spreads orderly, and cash flows differentiated by freight and domestic use. Without a decisive catalyst, weather shock, policy disruption, or data surprise, price direction into mid-October will likely remain rangebound, with corn and wheat favoring carry capture and soybeans defined by South American competition and crush economics.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately